trade and transit, control of cross-border crimes, border issues and inundation problems among many other things. In the sidelines of the SAARC Summit at Thimpu in April 2010, PM Manmohan Singh and Nepalese PM Madhav Kumar Nepal met and had talks. Jairam Ramesh, Minister of State for Environment and Forests visited Nepal in October 2010 to attend an international symposium on Climate Change. In January 2011, India Foreign Secretary visited Nepal and held talks to expand the bilateral cooperation. President of Nepal Ram Baran Yadav visited India from 27 January to 5 February 2011. His visit was aimed at consolidating the bilateral relations. In 2011, there were further visits by the External Affairs Minister to Nepal in April and before that in March a group of 6 Young MPs from India visited Nepal. Therefore, both the countries are trying to put the relations back into proper track. India and Nepal signed a revised Double Taxation Avoidance Agreement (DTAA) on 27 November 2011, to improve Indian investment in Nepal and ease procedures for stakeholders with commercial interest in both countries. Earlier during the visit of Nepalese Prime Minister Baburam Bhattarai to India in October 2011, both sides formalized the long pending Bilateral Investment Promotion and Protection Agreement (BIPPA). The visit was aimed at 'building trust between the two countries and two peoples.'

Yet tensions persists on issues of water sharing, border dispute including the Kalapani issue where Nepal has sought Chinese help in its resolution, insurgents and connections with Nepalese Maoists, pending extradition treaty, fake currency, persecution of India traders, and above all the fear of growing Chinese influence into Nepal jeopardizing India's security interests. However, India and Nepal must embark on more confidence building measures and work out bilateral problems amicably.

India and Bhutan

Bhutan seems to be sandwiched between its two gigantic neigbours —India and China. Therefore, this geo-strategic location of Bhutan has raised geo-political concerns for her two 'big' neghbours as well as for itself. Bhutan being a buffer state between India and China has significantly figured in foreign policy postures of both its giant